

Conduct of Business Rulebook (COBS)

*In this attachment underlining indicates new text and striking through indicates deleted text.



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- 15.4.5 An Authorised Person which intends to use a Client's Safe Custody Assets for its own purpose or that of another Person, must have systems and controls in place to ensure that:
- (a) it obtains that Client's prior written permission;
 - (b) adequate records are maintained to protect Safe Custody Assets which are applied as collateral or used for stock lending activities;
 - (c) the equivalent assets are returned to the Client Account of the Client; and
 - (d) the Client is not disadvantaged by the use of his Safe Custody Assets.

Guidance

1. An Authorised Person may record, register or hold a Client's Safe Custody Assets in a Client Account solely for that Client. Alternatively, an Authorised Person may choose to pool that Client's Safe Custody Assets in a Client Account containing the Safe Custody Assets of more than one Client.
2. The purpose of recording, registering or holding Safe Custody Assets in a Client Account is to ensure that Safe Custody Assets belonging to Clients are readily identifiable from assets belonging to the Authorised Person such that, following a Pooling Event, any subsequent distribution of Safe Custody Assets may be made reflecting each Client's valid claim over those assets.
3. ~~For the purposes of Rule 15.4.4, the Regulator would consider the use of Virtual Assets for the purpose of "staking" to be use for the purposes of the Authorised Person.~~

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17.10 Staking

Application

- 17.10.1 This section applies to an Authorised Person Staking Virtual Assets belonging to its Clients.

Restrictions

- 17.10.2 An Authorised Person may only Stake Virtual Assets belonging to its Clients where:

- (a) it has advised the Regulator of its intention to carry on Staking and provided such additional information as may reasonably be requested by the Regulator to demonstrate that it is able to meet the requirements imposed by this section;

- (b) the Virtual Assets to be Staked are Accepted Virtual Assets; and
- (c) the Rewards only consist of Accepted Virtual Assets or Accepted Fiat-Referenced Tokens.

17.10.3 An Authorised Person may only Stake Virtual Assets belonging to its Clients:

- (a) upon the instructions of the Client if the Authorised Person holds a Financial Services Permission enabling it to carry on the Regulated Activities of Managing Assets or Providing Custody; or
- (b) at the discretion of the Authorised Person if it holds a Financial Services Permission enabling it to carry on the Regulated Activity of Managing Assets.

Guidance

Authorised Persons wishing to offer Staking services to their Clients should engage with the Regulator at their earliest possible convenience. Authorised Persons should expect that, upon being notified, the Regulator will seek additional information, potentially including a demonstration of the platform which the Authorised Person will rely upon to Stake the Virtual Assets of Clients.

Provision of Staking Services

17.10.4 Before Staking the Virtual Assets belonging to Clients, an Authorised Person must:

- (a) provide the Client with the key terms under which the Client's Virtual Assets will be Staked, including, but not limited to:
 - (i) the means through which the Client's Virtual Assets will be Staked and the standards for the delivery of Staking services;
 - (ii) the duration of the Staking arrangement during which the Client's Virtual Assets may not be withdrawn, after which the Client's Virtual Assets must be made available to the Client and the terms on, and process by, which the Authorised Person may withdraw the Client's assets from Staking; and
 - (iii) the process by which the Client may request that the Client's Virtual Assets be withdrawn from Staking and all relevant requirements, notice periods or limitations; and
- (b) disclose relevant information to the Client, including, but not limited to:
 - (i) a description of the risks to the Client's Virtual Assets arising from Staking, including, without limitation, any potential inability to withdraw their Virtual Assets or potential delay in doing so, during the Staking period and risks to the Client's Virtual Assets arising from failure to meet uptime standards, "slashing" or any other analogous event related to Staking;

- (ii) if applicable, the identity of all third-party Staking Service Providers that will be involved in Staking the Client's Virtual Assets;
- (iii) information on how the Rewards are calculated and how and when they are to be paid; and
- (iv) information on all applicable fees and charges.

17.10.5 An Authorised Person Staking Virtual Assets belonging to a Client must make available to the Client at all times current information concerning:

- (i) the Client's Virtual Assets that have been Staked;
- (ii) the total amount of Rewards earned by the Client from Staking their Virtual Assets;
- (iii) the total amount of the Client's Virtual Assets that have been lost due to "slashing" or any other analogous event related to Staking;
- (iv) accrued levels of uptime since the commencement of Staking of the Client's Virtual Assets;
- (v) accrued fees and charges paid by the Client arising from Staking their Virtual Assets; and
- (vi) the remaining period after which the Client's Virtual Assets are no longer committed to be Staked.

Guidance

1. In relation to Rule 17.10.4(a)(i), an Authorised Person's key terms should include minimum expected levels of uptime and the client's exposure to "slashing" or analogous events.
2. Authorised Persons Staking Virtual Assets belonging to Clients should also comply with the disclosure requirements set out in Rule 17.6.1 as well as any applicable Rules set out in Chapter 3.

Means of delivery of Staking services

17.10.6 Any method employed by an Authorised Person to Stake Virtual Assets belonging to a Client must permit the Client to terminate the Staking arrangement and release their Virtual Assets from the Staking arrangement at the conclusion of the Staking period agreed with the Client.

Staking through the use of a Staking Service Provider

17.10.7 Before Staking the Virtual Assets of Clients using the services of a Staking Service Provider, an Authorised Person must:

- (a) undertake due diligence on the Staking Service Provider in order to satisfy itself that the Staking Service Provider is suitable and possesses the infrastructure and resources necessary for Staking; and
- (b) enter into a written agreement with the Staking Service Provider:
 - (i) acknowledging that the Virtual Assets being Staked are not the property of the Staking Service Provider;
 - (ii) allowing monitoring of the performance of the Staking Service Provider by the Authorised Person, including in relation to the continuing suitability and performance of the Staking Service Provider; and
 - (iii) requiring the Staking Service Provider to inform the Authorised Person without delay in the event of an incident or breach adversely impacting the Staked Virtual Assets, including, without limitation, protocol-level risks, upgrade schedules and governance votes that could affect withdrawals of Staked Virtual Assets.

Guidance

For the purpose of Rule 17.10.7(a), the Regulator would expect due diligence to examine the Staking Service Provider's past performance in respect of runtime, downtime, slashing, withdrawal queues or delays, the ability of the Staking Service Provider to retrieve or release Staked Virtual Assets where exigent circumstances arise, as well as the systems and resources of the Staking Service Provider related to the security of the Virtual Assets being Staked. The continuing obligation to monitor the performance of a Staking Service Provider would require due diligence to be performed in the event of any major upgrade to the Staking Service Provider's systems or software.